

Expanded Study for the City of Lakeway

FINAL REPORT



Evergreen Solutions, LLC

May 4, 2020

Expanded Study – City of Lakeway

In April 2019, Evergreen Solutions was retained by the City of Lakeway to conduct a Compensation and Classification Study. The study was primarily designed to focus on internal and external equity of both the structure by which employees are compensated, as well as the way in which positions relate and compare to one another across the City. In addition, the market survey contained a section asking peer organizations for specific information relating to scheduling and awarding of stipends and extra-duty supplements for Police and Telecommunication classifications.

In July 2019, Evergreen issued its final report which contained recommendations for implementing a competitive salary schedule for all employees, eliminating scheduled overtime for police and telecommunicators, and implementing a merit system combined with cost of living increases in an effort to continually maintain the City's competitive market position in the future.

Following the release of that report:

- 1) The Council adopted the “Bring to Minimum” option to implement the new salary schedules, meaning that the only changes in current employee salaries were made to those employees whose current salary was below the minimum on the new scale.
- 2) The Council approved approximately a 3 percent increase for all non-sworn positions, and a combination of the Bring to Minimum and the 3 percent increase were applied and awarded to all eligible employees on October 1, 2019.
- 3) Sworn Officers were not included in the implementation, but instead continue to receive their step increases on their anniversary date based on the current rather than proposed schedule.
- 4) The recommendation to eliminate Scheduled Overtime (OT) for patrol and telecommunicator positions was not completely implemented, however a partial solution for telecommunicators was to move them to a new hourly rate to ensure that their total annual compensation is at or above the newly adopted Unified Plan.

In October 2019, Lakeway retained Evergreen to expand on the original work provided as part of the Compensation and Classification Study for the City of Lakeway. The specific objectives for this extension would be to resurvey Police Departments that were a part of the original study to determine additional information about their overtime policies, and specifically the way these departments schedule sworn officers and dispatchers.



The Scope of Work included the following:

- Review the originally proposed step plans for both sworn and non-sworn employees and align the percentage allocated to annual step increases, proposed cost of living increases and merit pay proposals to ensure sustainability of the plans in the future.
- Obtain a minimum of a full month's schedule for both sworn officers and dispatchers and make proposals for schedules that will eliminate or reduce overtime within federal and state guidelines, if possible.
- Obtain statistical and demographic data on the number and type of staff used by the Police and Dispatch services, information on their general formulas and/or state and federal guidelines for staffing in relation to workload, geographic coverages, and the like. As appropriate, use these data in formulating proposed schedules.
- Obtain copies and a greater understanding of the peers' human resource policies in general and specifically policies relating to the sworn officers and dispatchers and make recommendations for new and/or revised policies.

To begin the process, Evergreen went back to the original list of peers, and with input from City administrators, developed an expanded list of peers to be surveyed as part of this study. The expanded list included municipalities and counties that currently have both a law enforcement office and 9-1-1 Call Center.

Exhibit A provides the peer list from which Evergreen requested copies of police and telecommunicator work schedules, pay plans, and related personnel policies.

**EXHIBIT A
CITY OF LAKEWAY
EXPANDED TARGET MARKET PEERS**

Peer Organizations	In Original Salary Study
City of Alamo Heights	X
City of Austin	
City of Cedar Park	X
City of Elgin	
City of Flowermound	X
City of Georgetown	X
City of Keller	
City of Kyle	
City of Lago Vista	
City of Leander	X
City of Marble Falls	
City of Pflugerville	X
City of Round Rock	X
City of San Marcos	
Caldwell County	
Hays County	X
Travis County	X
Williamson County	X



While not all the peers were able to provide all the requested information, each provided electronic copies or links to a portion of the requested data. Person interviews with key peer administrators also helped to clarify the data received or fill in pieces of missing information in terms of both policies and practices. The former Telecommunications Manager also provided copies of an informal survey he had conducted following the release of the original Evergreen Report, which contained data elements that proved useful.

The findings and conclusions of this study are presented in this report and are organized as follows:

- 1.0 Work Schedules, Elimination of Overtime, and Staffing
- 2.0 Salary Schedules and Step Plans
- 3.0 Merit System with Cost of Living Increases
- 4.0 Human Resource Policy

1.0 WORK SCHEDULES, ELIMINATION OF OVERTIME, AND STAFFING

Currently, certain City of Lakeway Police Officer positions, the Police Sergeant – Patrol position, and Telecommunicator positions work seven 12-hour shifts over a two-week period, for a total of 2,184 hours per year. Of that total, 1,976 hours are paid at a regular hourly rate, with the remaining 208 hours paid at a time-and-a-half overtime rate (**Exhibit B**).

EXHIBIT B CITY OF LAKEWAY CURRENT POLICE AND TELECOMMUNICATOR TWO-WEEK WORK SCHEDULES

	Week One	Week Two	Two Week Total	Annual Total (52 Weeks)
Days Worked	3 Days	4 Days	7 Days	182 Days
Shift Length	12 Hours	12 Hours		
Hours Worked	36 Hours	48 hours	84 Hours	2,184 Hours
Hours of Overtime	0 Hours	8 Hours	8 Hours	208 Hours

The employee's or team's alternate schedules ensure at least minimum coverage is maintained 24 hours per day, seven days per week.

FINDING

Telecommunicators fall under the provisions of the federal Fair Labor Standards Act (FLSA) which requires the payment of overtime for most non-exempt employees who work more than 40 hours during a standard work week.

non-exempt sworn police officers are one exception to FLSA; however, the Texas Local Government Code contains further restrictions.



Local Government Code, §142.0015 HOURS OF LABOR AND VACATION OF MEMBERS OF FIRE AND POLICE DEPARTMENTS IN MUNICIPALITY WITH POPULATION OF MORE THAN 10,000.

(j) If a majority of police officers working for a municipality sign a written waiver of the prohibition in Subsection (f), the municipality may adopt a work schedule for police officers requiring a police officer to work more hours than permitted by Subsection (f). The officer is entitled to overtime pay if the officer works more hours during a calendar month than the number of hours in the normal work month of the majority of the employees of the municipality other than fire fighters and police officers.

The peer organizations surveyed as part of this study indicated that they have reached agreement with non-exempt sworn police officers and either pay overtime when the number of hours worked in a two-week period exceed 80 hours, or use a monthly approach for setting the threshold for overtime. While unscheduled overtime for emergencies is paid, none of the original peer organizations surveyed regularly scheduled non-exempt sworn police officers to work overtime based on the guidelines shown above. Most of the organizations, however, scheduled some overtime for telecommunicators. The 9-1-1 organizations that did not schedule overtime were typically larger, and telecommunicators worked five 8-hour shifts or four 10-hour shifts per week.

Schedules obtained from peers for Telecommunicator and Police positions varied, however, most preferred a 12-hour shift and the most prevalent schedules included a flexible day where the employee worked one 8-hour shift during the second week of the two-week period (Exhibit C).

**EXHIBIT C
CITY OF LAKEWAY
NON-EXEMPT SWORN POLICE OFFICER AND TELECOMMUNICATOR
FLEXIBLE WORK SCHEDULES**

	Week One	Week Two	Two Week Total	Annual Total (52 Weeks)
Days Worked	3 Days	4 Days	7 Days	182 Days
Shift Length	12 Hours	3X12 Hours 1X 8 Hours		
Hours Worked	36 Hours	44 hours	80 Hours	2,080 Hours
Hours of Overtime Telecommunicators	0 Hours	4 Hours	4 Hours	104 Hours
Non-Exempt Sworn Police Officers	0 Hours	0 Hours	0 Hours	0 Hours

As shown above, in the second week of this option, telecommunicators would still be scheduled to work four hours of overtime. Non-exempt sworn police officers would not be scheduled or paid overtime unless the total hours worked over the two weeks exceeded 80 hours.



RECOMMENDATION 1: Adopt a flexible schedule where Non-Exempt Sworn Police Officers and Telecommunicators work one 8-hour shift during each two-week period.

For this schedule to work for telecommunicators, the 10 current budgeted positions must be filled. To move to four 10-hour shifts per week with no scheduled overtime would require a minimum of 12 full-time telecommunicators. If Lakeway can expand its 911 services to other local governments and staffing is increased to meet coverage requirements, it may be possible to move to that type of schedule.

2.0 SALARY SCHEDULES AND STEP PLANS

Over the last five or more years, Evergreen was told that the City Council has regularly provided salary increases of approximately 3 percent per year, with some or all of that amount being awarded based on merit. The adopted pay plan, however, has remained static. Evergreen recommended that Lakeway, *“Implement a modified approach for providing annual salary increases that combines an annual cost of living increase that results in a change to the salary plans with merit increases.”*

This means that Lakeway would adjust their salary plans each year based on the consumer price index (CPI) values for cost of living adjustments (COLAs), with an additional amount allotted for merit increases. For example, assuming the Council determined that a 3 percent salary increase was budgetarily appropriate, and the CPI rose by 1 percent in the prior year:

- a COLA increase of 1 percent would be allocated for all employees;
- all salary schedules and step plans would be adjusted upward by 1 percent; and
- all employees would receive the 1 percent COLA adjustment.

The remaining 2 percent would then be allocated for merit increases and that money would be distributed to employees according to the Council-approved merit policy guidelines. This approach does not require new money to be added to the budget, it simply reallocates the money that the Council determines to be budgetarily appropriate for the fiscal year between COLA and merit increases. The benefit of this system is the fact that the salary schedules are being adjusted annually to keep pace with cost of living increases, while employees are rewarded systematically for their levels of performance. The systematic approach and policies for such increases are discussed in greater detail in Sections 3.0 and 4.0 of this report.

Sustaining a salary plan that contains both a COLA adjustment and a merit system was the primary concern.

2.1 Unified Plan

Lakeway currently uses the Unified Plan as a guide for bringing in new employees, but employees do not strictly fall on a given step within the plan. As the Council approves annual salary increases, each employee’s salary moves up by the percentage of increase approved by the Council rather than moving from step to step in the plan.



Under a combination merit and cost of living increase system, the employees covered by the Unified Plan would receive the approved increases, the salary plan would be adjusted upward by the amount of the cost of living adjustment, and newly hired employees would be hired at the new minimum rate based on the CPI adjustment. Since employees on the Unified Plan do not move strictly from step to step in the plan, allocating salary increases to the merit and cost of living components would not require a change to the step guidelines.

CONCLUSION: Agreement was reached that no adjustment in the Unified Plan would be needed, as the step plan does not dictate salary increases. Further, the plan is sustainable as no new money is being requested from the Council, it is merely a reallocation of the money they have historically approved for annual salary increases.

2.2 Police Step Plan

Currently the Police Department has four separate step plans: Probationary Officers (2 steps); Police Officers (12 Steps); Sergeants (Entry plus 7 steps); and Lieutenants and Captains (Entry plus 10 steps). Officers and Sergeants move strictly from step to step in the plan. While there are steps in the Lieutenant and Captain plans, typically these pay grades are awarded annual percent increases, similar to the employees on the Unified Plan, and the steps are primarily used as a guide. The plans and step systems used by the Lakeway Police Department are organized in line with many of the salary and step plans provided by peer organizations.

Police officers are NOT eligible to receive across-the-board increases approved by the Council – an officer’s annual increase is tied to the step increase.

For officers, movement to the next step in the pay plan occurs annually on the employee's anniversary date in the position, at the discretion of the Chief of Police. Newly hired and experienced employees are placed in the step best matching their years of experience. Although the percentages vary somewhat, step increases for officers under the current plan range from a low of 2.75 percent to a high of 4.0 percent.

A new hire with no experience will start as a Probationary Officer. After successfully completing the field training program, which in most cases likely takes six (6) months to complete, the officer will move to the final step of the Probationary Officer step plan (a 1.8 percent increase). After one (1) year in the position from the hire date, the officer will move to Step 1 of the Police Officer step pay plan (a 4.6 percent increase).

There are multiple options for implementing a combination merit and cost of living plan, for police. The challenge is building a competitive plan that can be sustained over time, recognizing that most organizations also use a traditional step plan for sworn officers.

The current step increases for police positions are on average, between 3 and 5 percent per year. For a step plan to be sustainable, the total for cost of living, merit and step increases will need to remain within that same range.

CONCLUSION: Agreement was reached that the percent of increase between steps for Police positions would need to be reduced to create a sustainable step system that included both a merit and cost of living component.



2.3 Police Salary Schedule

The results of the original market survey conducted by Evergreen produced the following results for Police salary ranges used by peer organizations (**Exhibit D**).

**EXHIBIT D
MARKET PEER SALARY RANGES**

Classifications	Survey Minimum	Survey Midpoint	Survey Maximum
	Average	Average	Average
Police Officer	\$56,331	\$67,625	\$78,919
Detective	\$63,153	\$72,969	\$82,784
Police Officer-Animal Protection Officer	\$47,091	\$61,458	\$75,826
Sergeant - Patrol	\$76,156	\$86,560	\$96,963
Police Lieutenant	\$87,167	\$97,197	\$107,226
Police Captain	\$93,267	\$109,285	\$125,303

During this expanded study, Evergreen examined salary schedules and step plans from peer organizations and found most peer organizations maintained a single scale for officers, sergeants, lieutenants and captains, and used stipends and supplements to recognize certification levels and extra duty assignments.

In addition, the peer salary schedules generally provided fewer steps and narrower pay ranges for sergeant, lieutenant and captain classifications, meaning that the consistent 14 step plan originally recommended by Evergreen resulted in some deviation from the market minimum to maximum pay ranges for these classifications.

Exhibit E provides Evergreen's recommended Police salary schedules and steps with comparative information to the current plan, with and without scheduled overtime. The proposed salaries assume that scheduled overtime is eliminated.

RECOMMENDATION 2: Adopt the Police Salary Schedule and Step Plan as shown in Exhibit E with all employees currently working overtime being held harmless at their current rate of take-home pay.

Like the option adopted for the employees on the Unified Plan, employee whose current salary is below the minimum for their pay grade would be brought to the minimum. For employees already above the minimum, the employees' base salaries would be increased to the next highest/ closest step in the newly proposed pay plan. For example, if a Police Officer's salary is currently \$55,000, they will be moved to the next highest step in the new pay plan which is \$56,500. Salary increases, therefore will always be less than a full step increase, as the intent of this option is to simply place the employees on a step in the new plan.



EXHIBIT E
RECOMMENDED POLICE SALARY RANGES AND STEPS
COMPARED TO CURRENT SALARY SCHEDULES WITH AND WITHOUT OVERTIME

Classification	Grade	Minimum	Midpoint	Maximum	Steps	% Step Increase
Police Officer- Probationary	PD01	\$53,500	N/A	\$54,500	2	1.9%
	Current	\$48,660	N/A	\$49,390	2	1.5%
	Current w/OT	\$50,977	N/A	\$51,742	2	1.5%
Police Officer Animal Protection DEA Liaison K9 Officer Motorcycle Officer Police Detective	PD02	\$56,500	\$67,659	\$78,818	16	2.2%
	Current	\$50,872	\$61,931	\$72,990	12	2.7 to 4.0%
	Current w/OT	\$53,294	\$64,880	\$76,466	12	2.7 to 4.0%
Police Sergeant Professional Standards Criminal Investigations Patrol	PD03	\$76,650	\$87,190	\$97,729	11	2.2%
	Current	\$65,628	\$73,653	\$81,678	Entry +7	3.0 to 3.6%
	Current w/OT	\$68,753	\$77,160	\$85,567	Entry +7	3.0 to 3.6%
Police Lieutenant	PD04	\$86,000	\$97,325	\$109,650	11	2.2%
	Current	\$65,209	\$81,512	\$97,814	Entry+ 11	3.4 to 5.0%
Police Captain	PD05	\$93,000	\$109,275	\$125,550	11	2.8%
	Current	\$75,488	\$94,359	\$113,229	Entry+ 10	3.4 to 5.0%

NOTE: This implementation option does not place officers on the step that corresponds to their years of service; the intent is to simply move the employees from the current plan to the new plan, only.

Based on the employee's current salaries with overtime, and the recommendation to hold all employees harmless, meaning that no take home salaries would be reduced from the current rate including overtime, the cost to implement this plan is approximately \$43,575, with the majority of the increases going to the officers at or near the entry level.

2.3 Telecommunicator Salary Schedules

Telecommunicators are part of the Unified Plan approved by the Council and effective in October, 2019.

The results of the original market survey conducted by Evergreen produced the following results for telecommunicator salary ranges used by peer organizations (**Exhibit F**). In addition to the request for salary data for telecommunicators, Evergreen asked peers to provide salary information for a possible new supervisory position.



EXHIBIT F
MARKET PEER SALARY RANGES

Classification	Survey Minimum Average	Survey Midpoint Average	Survey Maximum Average
Police Telecommunicator	\$36,785	\$45,186	\$53,586
Hourly rate based on 2080 hours	\$17.69	\$21.72	\$25.76
Police Telecommunications Supervisor - NEW	\$50,888	\$61,092	\$71,296

The peer's salary ranges were the base salary for telecommunicators without overtime. To determine the amount of actual take home pay, an estimated 100-200 hours of overtime would need to be added. Therefore, when proposing the annual salary range (assuming Lakeway would adopt a no overtime schedule), the new salary range for telecommunicators was set 9-12 percent higher than the average market base so that actual take home pay would be competitive.

Because Lakeway's staffing levels were such that they could not move to either 8- or 10-hour shifts and still maintain adequate 24/7 coverage, the administration backed into the hourly base salaries considering the 208 hours of overtime. **Exhibit G** shows the annual salary converted to the hourly salary rates for the current 208 hours of overtime and the proposed 104 hours of overtime.

As shown, the 2019-20 annual salary ranges with overtime for telecommunicators is from \$4,000 to \$6,000 higher than the salary ranges from 2018-19. Hourly rates in either scenario of overtime are competitive with the hourly rates found in the market survey and are significantly higher than the hourly rates paid to Lakeway telecommunicators in 2018-19 (**Exhibit F**). In summary, Lakeway's telecommunicators' hourly rates and annual salaries are higher and telecommunicators, under this plan, will be required to work fewer hours.

EXHIBIT G
TELECOMMUNICATOR 2019-20 SALARY RANGES
COMPARED TO 2018-19 SALARY SCHEDULES WITH AND WITHOUT OVERTIME

Classification	Grade	Minimum	Midpoint	Maximum
Police Telecommunicator	U90 Total Salary with OT	\$40,203	N/A	\$60,304
	Hourly Rate w/104 hours of OT	\$18.86		\$28.29
	Hourly Rate w/208 hours of OT	\$17.57		\$26.36
	2018-19 w/o OT	\$32,935	N/A	\$49,403
	2018-19 Hourly Rate	\$15.83		\$23.75
	2018-19 Total Salary w/ 208 hrs. OT	\$36,229	N/A	\$54,343
Police Telecommunicator II NEW	U110 Total Salary with OT	\$46,540	N/A	\$69,810
	Hourly Rate w/104 hours of OT	\$21.83		\$32.74
Police Telecommunicator Supervisor NEW	U140 Total Salary with OT	\$51,310	N/A	\$76,965
	Hourly Rate w/104 hours of OT	\$24.07		\$36.10



While implementation of the Bring to Minimum Schedule increased the salaries offered to new hires, and impacted those employees who had recently been hired, the more tenured employees were held harmless at their current rate of pay with overtime. Although some salaries were adjusted to correct inter-equity issues, none of the existing employees were reclassified as Telecommunicator II or Supervisor.

RECOMMENDATION 3: Maintain the approved salary schedule for Telecommunicators, which is competitive based on the original market study, using the backed-in approach based on 104 hours of scheduled overtime; consider how the new positions of Telecommunicator II and Supervisor may be used to reclassify employees that are performing additional duties.

3.0 MERIT SYSTEM WITH COST OF LIVING INCREASES

In its original report, Evergreen recommended that Lakeway implement a modified approach for providing annual salary increases that combines an annual cost of living increase that results in a change to the salary plans with merit increases. This section examines the processes and procedures for implementing a combination salary system.

3.1 Administering Annual Cost of Living Increases

The benefit to adjusting the salary scales to keep pace with inflation is that the pay ranges tend to stay in sync with the market for a longer period.

Many organizations adjust their salary scales annually based on a calculated cost of living increase. This increase in the salary scales is based on recognized cost of living indices for the area.

City administrators will typically gather the information from the various indices and present their proposals to the Council during the budget cycle. Should a cost of living increase be found appropriate and approved by Council, the increase will be effective October 1 and would be included in any increases that are effective at the beginning of the fiscal year.

For employees on the Police Step Plan, the cost of living increase would raise the scale and on their anniversary date, the cost of living increase would be reflected in the step increase, as all steps in the pay plan would increase by the cost of living increase.

RECOMMENDATION 4: Adopt the practice of annually including cost of living increases in the annual salary adjustment process and change all salary schedules and step plans by the amount approved by City Council each year.

3.2 Administering Merit-Based System

While the City uses an informal process for awarding merit increases, there is no measurable criteria in policy for such increases and the evaluation instruments in use at the time of the original report did not contain clear and measurable criteria that could be used in such a system.



3.2.1 Evaluation Instrument - Police

Lakeway employees are evaluated annually. Police employees are evaluated periodically during the year and on their anniversary date using an open-ended instrument that provided the supervisor and employee an opportunity for comment. During this expanded study, Evergreen identified a sample police evaluation instrument from the City of Oxnard, CA. This evaluation model has three principal evaluation areas. Each performance area has rating subsections. Subsections are assigned a rating score from the following list: *Outstanding*, *Very Good*, *Meets Standards*, *Improvement Needed*, and *Unsatisfactory*. (Exhibit H)

EXHIBIT H SAMPLE POLICE EVALUATION INSTRUMENT

Section 1: Knowledge/Skills/Abilities	
Officer Safety <u>Benchmarks</u> - Practices safe working habits in routine activity. - Uses sound tactics that emphasize safety. - Demonstrates an understanding of the principles of contact and cover. - Uses proper cover, concealment, illumination, and a position of advantage to minimize exposure. - Conducts thorough and safe search practices.	MEETS STANDARDS - Proficient and reasonable use of arrest and control holds. - Maintains an awareness of his/her environment and monitors the activities of beat partners and officers in surrounding beats. - Maintains composure in stressful situations and is able to coordinate his/her efforts with other officers on scene.
Investigative Ability / Interviewing Skills <u>Benchmarks</u> - Immediately recognizes and protects relevant evidence. - Properly applies current case law as it relates to search and seizure. - Effectively conducts interrogations within legal constraints (i.e. prepares for interrogation, proper use of Miranda, obtains narrative suspect statement, confronts suspect on inconsistencies, addresses alibis and possible defenses). - Uses effective interviewing techniques.	MEETS STANDARDS - Takes the initiative to identify and interview any and all potential witnesses. - Attempts to verify statements received during interviews and interrogations. - Conducts thorough investigations that, as far as practical, eliminate the need for follow-up work. - Recognizes matters that would require detective notification, assistance or response.
Report Writing <u>Benchmarks</u> - Reports are a complete and detailed account of what occurred from beginning to end, written and organized so as to assist any reader in comprehending the occurrence. - Completes reports in a timely manner. - Properly completes required forms and paperwork.	MEETS STANDARDS Submits complete reports and other written products that do not require corrections (i.e. clearly makes point; includes all necessary information; proper use of all codes and subsections; legible; correct grammar, spelling, and punctuation).
Decision Making <u>Benchmarks</u> - Demonstrates our value of a reverence for all laws. - Uses common sense in everyday situations. - Confidently makes sound decisions. - Evaluates problems before making decisions.	MEETS STANDARDS - Makes sound and timely decisions while under pressure. - Demonstrates a thorough understanding of Department policies and procedures and incorporates this into decision making.
Interpersonal Skills <u>Benchmarks</u> - Establishes cooperation and rapport with others. - Seeks feedback, uses it as a learning tool and applies it to future situations. - Employs good listening skills. - Verbally presents information in a clear, concise, and understandable manner. - Discusses differences constructively, in a respectful manner. - Uses verbal skills to prevent or de-escalate confrontations.	MEETS STANDARDS - Effectively manages conflict. - Demonstrates courtesy, tact, and consideration for others. - Provides feedback to others in a constructive and professional manner. - Accepts responsibility for his/her actions without becoming defensive. - Communicates effectively with the public.
Driving Skills <u>Benchmarks</u> - Sets a good example of defensive and courteous driving. - Follows Department policy during routine driving. - Follows Department policy during pursuits and other emergency driving operations.	MEETS STANDARDS - Refrains from engaging in distracting activity (e.g. cell phone, MDC) while driving. - Complies with the vehicle code. - Routinely wears seat belt.
Radio / Communications Procedures <u>Benchmarks</u> - Attentive to radio at all times. - Attentive to MDC communications. - Makes clear, concise and professional radio transmissions. - Limits radio transmissions to that which is necessary.	MEETS STANDARDS - Comprehends radio transmissions without making repetitive requests for information. - Updates dispatch communications to changes in status. - MDC chat is appropriate and professional.



As shown in **Exhibit H**, each of the primary evaluation areas has very specific and measurable criteria which are not tied to a single act, but instead, the criteria speak directly to the processes and procedure used by the officers.

CONCLUSION: The Lakeway Police Chief has adapted the Oxnard model evaluation instrument to match the needs of this department and has begun using the new instrument for evaluating its officers.

3.2.2 Evaluation Instrument – General Employees

General employees are evaluated annually, typically at or near the end of the fiscal year. The current evaluation instrument is generic for all departments and lacks the type of specific and measurable criteria as shown in the example provided for the Police Department. During the course of the expanded study, Evergreen identified a number of examples of performance evaluation instruments that could be adapted to meet the needs of the City overall, but would also contain a section where the specific duties described in the job description for each position could also be addressed.

In addition, Evergreen identified training documents for supervisory staff that could be used to guide supervisors in goal setting, evaluation planning, and evaluation follow-up activities.

RECOMMENDATION 5: Adopt an employee evaluation instrument for general employees and provide training and instructions to supervisors on the techniques for using the performance evaluation system to continually improve employee performance.

3.3 Merit System

In a merit system, annual pay increases are based upon performance as a reward to employees for ability and efficiency in performing their duties. Increases are not automatic; instead merit increases are determined by annual performance evaluations and the amount is determined annually by City Council and City budgetary processes.

A merit increase may be a percentage of pay added to base salary, percentage of pay lump sum, or a one-time lump sum, approved in the budget and granted to recognize acceptable/outstanding performance. Merit increases are not and should not be used to recognize increased duties and responsibilities (a promotion or reclassification).

The amount of merit pay available each year is contingent on the amount of merit pay budgeted by the Council in any given year. In years when the Council does not budget money specifically for merit increases, no merit increases will be given.

The following describes the merit system outlined in the proposed policy:

Eligibility for Merit Increases - All employees, with the exception of non-exempt sworn police officers, hired on or before March 1st will receive a performance evaluation before October 1 in order to be considered for a merit increase to be effective for the following fiscal year. Any employee hired after March 1st or who had their probationary period extended, would not



receive a merit increase until the following October, providing their evaluation merits the increase. Non-exempt sworn police officers are evaluated annually on their service date and would be eligible for merit pay at that time, based on the results of that evaluation.

Probationary employees would be eligible for cost of living adjustments and/or market adjustments as implemented to the pay plan. Only full-time staff are eligible to receive merit pay. Part-time employees will not be eligible. Also, full-time employees must have six months of continuous service before becoming eligible for merit pay.

Merit pay is based on the employee's performance evaluation and will be based on the overall performance of the employee. This determination will be documented on the performance appraisal form and discussed with the employee during the performance appraisal meeting.

Performance Evaluations - Supervisors must complete the employee's performance evaluation on or before the end of the fiscal year. For police the evaluation would be completed by the employee's service date each year.

Goal setting is a crucial component to reaching strategic initiatives. Therefore, heavy emphasis will be placed on the quality of the goals set and employee attainment of those goals.

Rating and Award System

Unsatisfactory: The employee's overall performance is generally unsatisfactory and unless the level of performance improves, based on a documented Performance Action Plan (PAP), future employment is in jeopardy. No step, cost of living or merit increase will be awarded. A PAP identifies performance and/or behavioral issues that need to be corrected and creates a written plan of action to guide the improvement and/or corrective action. Once performance has improved and/or behavior has been corrected the PAP can be eliminated, making the employee eligible to receive any across the board increases approved by the Council for the year in which the PAP was eliminated.

Needs Improvement: Although 50-75 percent of the overall ratings meet standards, there are significant functional areas or issues where the employee's performance requires improvement (i.e., poor attendance). Cost of living increases are given but the merit award is less than the full amount approved by the Council. If after six months, performance improves, the remaining amount may be awarded.

Meets Standards: The overall ratings meet standards, although in a limited number of functional areas the employee may need moderate improvement or exhibit exceptional performance. 100 percent of the Council-approved merit is awarded.

Outstanding: At least 50 percent of the employee's documented and supported performance ratings exceed the stated expectations for the functional areas evaluated. Merit increases of up to 1 percentage point above the merit percentage approved by the Council may be awarded.



Exceptional: At least 75 percent of the employee's documented and supported performance ratings exceed the stated expectations for the functional areas evaluated. Merit increases of up to 1.5 percentage points above the percentage approved by the Council may be awarded.

Three types of merit increases can be authorized and will vary by employee group: percent of base salary increase; one-time percent bonus; one-time lump sum bonus. For example:

Unified and PD Lieutenants and Captains: A percent of base salary increase on 10/1, with varying percentages based on performance rating (i.e., 2%– Meets Standards; 2.5%– Outstanding; 3%– Exceptional)

Police Officers and Sergeants: One-time lump sum on anniversary date with varying amounts based on performance rating. (i.e., Step – Meets Standards; Step + \$500 – Outstanding; Step + \$1,000 – Exceptional)

Exhibit I illustrates the example.

EXHIBIT I SAMPLE MERIT SYSTEM SCENARIO

Rating/ Employee Type	Unsatisfactory	Needs Improvement*	Meets Standards	Outstanding	Exceptional
PD Officers/ Sergeants	No Step Increase	½ Step Increase	Step Increase	Step Increase + \$500 lump Sum	Step Increase + \$1,000 lump Sum
PD Lieutenants/ Captains	No Merit	½ of approved Merit	Full Approved Merit	Merit +1%	Merit +1.5%
Unified Plan	No Merit	½ of approved Merit	Full Approved Merit	Merit + 1%	Merit + 1.5%

* Another ½ Merit/Step is possible when performance improves.

For budgeting purposes, supervisors will be asked to submit a list showing the employees that they are nominating for a merit increase and the level at which they recommend that the increase be given. The nomination for the increase must be supported by the employee's annual performance evaluation.

The amount of the merit increase and the method (lump sum, percent of salary, etc.) for distributing the merit increases is variable from year to year, based on the decision of the City Council and the City Manager.

RECOMMENDATION 6: Adopt the merit system as described, and annually consider merit increases in the annual salary adjustment process.

Exhibits J, K, and L provide examples of how the system will work for a Police employee and a Regular employee covered under the Unified Plan. For comparability purposes, the current base salary remains constant for both employees at \$60,000, as does the amount of the Council-approved cost of living increase (1 percent) and the total percent allocated by Council for the merit increase (2 percent). Only the employee's performance level changes.



EXHIBIT J
SALARY INCREASE SCENARIO – MEETS STANDARDS PERFORMANCE

	Unified Plan	PD Officers/ Sergeants
Base Salary Prior Year	\$60,000.00	\$60,000.00
COLA 1% Increase to Salary Schedule	\$60,600.00	\$60,600.00
Step Increase 2.2% New Schedule	N/A	\$1,333.20
Merit 2% Increase Over Prior Year	\$1,200.00	N/A
Total Salary for Meets Standards Performance	\$61,800.00	\$61,933.20
Percent Increase from Prior Year	3.0%	3.2%

EXHIBIT K
SALARY INCREASE SCENARIO – OUTSTANDING PERFORMANCE

	Unified Plan	PD Officers/ Sergeants
Base Salary Prior Year	\$60,000.00	\$60,000.00
COLA 1% Increase to Salary Schedule	\$60,600.00	\$60,600.00
Step Increase 2.2% New Schedule	N/A	\$1,333.20
Merit 3% Increase/ \$500 Lump Sum	\$1,800.00	\$500
Total Salary for Outstanding Performance	\$62,400.00	\$62,433.20
Percent Increase from Prior Year	4.0%	4.1%

EXHIBIT L
SALARY INCREASE SCENARIO – EXCEPTIONAL PERFORMANCE

	Unified Plan	PD Officers/ Sergeants
Base Salary Prior Year	\$60,000.00	\$60,000.00
COLA 1% Increase to Salary Schedule	\$60,600.00	\$60,600.00
Step Increase 2.2% New Schedule	N/A	\$1,333.20
Merit 3.5% Increase/ \$1,000 Lump Sum	\$2,100.00	\$1,000
Total Salary for Exceptional Performance	\$62,700.00	\$62,933.20
Percent Increase from Prior Year	4.5%	4.9%

There is no new cost to the City for implementing this combination merit and cost of living salary system. If the Council continues to allocate a percent of total salaries for annual increases, the Council will simply allocate the approved percentage to the two categories. If no salary increases are allocated or if the Council decides that no cost of living or no merit increases are possible for a given year, employee salaries will remain unchanged or will be moved by the approved amount.

RECOMMENDATION 7: Implement a merit system based on the guidelines shown above.

4.0 HUMAN RESOURCE POLICY

Changes and additions to the City of Lakeway Human Resource Policies will be required to implement the changes to scheduled overtime and the work schedules for non-exempt sworn police officers and telecommunicators, a combination merit system and cost of living increase



system, and a system for evaluating reclassifications and initial hiring placements. Proposed policy revisions and additions are found in **Appendix A** of this report, with proposed changes to existing policy highlighted. Police Procedures have also been modified to reflect the relevant changes.

Below is a summary of policy changes being submitted for Council consideration:

031 INTRODUCTORY PERIOD

- Probationary periods and initial salary increase when individual is fully trained

120 SALARY ADMINISTRATION

- Annual cost of living and merit increases
 - Conducting small scale salary surveys
 - Comprehensive surveys every 3-5 years
 - Longevity Pay
- Salary administration
 - Handling of topped out employees
 - Step Increases for PD – Taken from PD Policy
 - Recognition of prior experience for placement of new hires on the pay scale (Regular employees and PD)
 - Budgetary Requests for Merit Increases.
 - Certification and shift differential pay guidelines

130 MERIT SYSTEM - NEW

- Process for administering merit increases

210 HOURS OF WORK AND PAYROLL PRACTICES

- Scheduling for PD and Dispatch
 - Work Hours

220 OVERTIME NON-EXEMPT EMPLOYEES

- Overtime and appropriate use of overtime
- Provisions for training (both compensation of trainers and handling of time for trainees
 - OT versus regular pay)

620 PROMOTIONS/RECLASSIFICATIONS

- Process for requesting and justifying promotions, creation of new positions, etc.
 - Required documentation
 - Use of Job Review Form and Job Assessment Tool (JAT)



Appendix A

Personnel Policies for Council Consideration

031 INTRODUCTORY PERIOD

I. PURPOSE

To complete the employee selection process by providing an introductory period of on-the-job work experience by which the new employee and the supervisor/department head shall evaluate employment suitability in terms of knowledge, skill, ability, performance, compatibility, and interest.

II. SCOPE

This policy applies to all full-time and part-time employees.

III. POLICY

Newly hired employees or employees changing jobs (see Section IV. E. of this policy) will be in an introductory period of ~~90 days~~six months. The introductory period may extend beyond ~~90 days~~six months when appropriate. The extension must be approved by the Human Resources Department and the City Manager.

See the Lakeway Police Policy and Procedures Manual for specific guidelines for the Police Department.

Supervisors/department heads may be held accountable for fairly evaluating the performance of new employees and for retention of an employee performing below standards.

IV. PROCEDURE

A. Introductory Period

1. Newly hired full-time employees are not eligible to take vacation leave or to use their personal day until the introductory period is completed. Vacation credit is accumulated during this period for later use. Leave without pay during the introductory period may be granted on the recommendation of the department head and approval by the City Manager.

See Leave Without Pay #321.

2. Newly hired full-time employees will not be eligible for annual medical benefit deductible reimbursement until completion of the introductory period.

See Insurance Programs #330.

3. Supervisors/department heads should closely monitor employees and perform frequent and informal counseling and evaluations. Supervisors/department heads should keep written records of significant incidents that require supervisory input during the introductory period.

See Employee Performance Appraisals #612.

B. Termination During the Introductory Period

Department heads may recommend the termination of an introductory employee at any time. A recommendation for termination must be submitted in writing to the Human Resources Department for review. The recommendation should include a performance appraisal and a list



of actions, if any, taken to assist the introductory employee. Actions to terminate must have the prior approval of the Human Resources Department.

C. Formal Performance Appraisals

Prior to the end of the ~~90-day~~ six-month introductory period, the City will endeavor to perform a performance appraisal of newly hired employees and employees who have changed jobs. During this ~~90-day~~ six-month period the supervisor/department head should closely monitor the employee and conduct frequent, informal counseling and evaluations, as warranted.

See Employee Performance Appraisals #612.

D. Completion of Introductory Period

At the conclusion of the introductory period, the department head, in consultation with the Human Resources Department, will make one of the following recommendations:

1. Continued employment after the introductory period and potential salary action

Upon successful completion of the introductory period, the employee shall remain an at-will employee and be evaluated utilizing procedures outlined in this manual. The supervisor/department head may recommend a salary increase.

2. Extension of the introductory period

The City Manager may grant such an extension. The employee has no right to request a continued introductory period. The City has no obligation to extend the introductory period beyond the standard ~~90-day~~ six-month period.

3. Termination

The City Manager will evaluate the manager's recommendation to terminate.

E. Change of Job

1. Employees who have changed jobs will have an introductory period in their new position for a minimum of ~~90-days~~ six-months.
2. Employees who change jobs and who have been with the City over ~~six-months~~ 90-days will be eligible to use their accrued leave and personal day.
3. Receipt of a job change does not guarantee that an employee will be able to return to his/her former position if he/she is unsuccessful in the new position.

However, if a suitable position is available and the employee's performance and experience warrants, the employee may be offered reassignment

Introductory Period
Policy No. 031
Origination Date: December 17, 2007
Revision Date: n/a



120 SALARY ADMINISTRATION

I. PURPOSE

To maintain a program of internally equitable and externally competitive salaries, recognizing the importance and value of each individual and maintaining a system of fair pay for equal work in support of organizational goals.

II. SCOPE

This policy applies to all positions.

III. POLICY

The City will maintain a compensation system which is internally equitable and externally competitive with industry in our community, other competing markets, and similarly sized and situated cities.

Annually, and as needed, Human Resources will conduct targeted salary studies of peer organizations to ensure that specific positions are and remain competitive with the market. A compensation study will be conducted every three to five years, resulting in a compensation policy which guides salary actions. The Human Resources Manager will annually prepare a compensation plan for the City Manager to submit to the City Council for approval as a part of the fiscal year budget. This plan will include recommendations for cost of living adjustments to the existing compensation plan as well as any salary adjustment to specific positions based on the results of any targeted salary studies.

A comprehensive compensation study will be conducted every three to five years, resulting in a compensation plan which guides salary actions.

A. Cost of Living Increase

A cost of living increase will be considered each year, which is based on recognized cost of living indices for the area. Should a cost of living increase be approved, the increase will be paid to all employees and will adjust the pay plan to retain a competitive compensation plan.

A.B. Merit Increase

Annual pay increases are based upon performance as a reward to employees for ability and efficiency in performing their duties. Increases are not automatic, but will be determined by annual performance evaluations and the amount will be determined annually by City Council and City budgetary processes.

A merit increase may be a percentage of pay added to base salary, percentage of pay lump sum, or a one-time lump sum, approved in the budget and granted to recognize acceptable/outstanding performance. An employee's salary, not including lump sums, may not exceed the maximum of the pay range for the position. Merit increases are not used to recognize increased duties and responsibilities (a promotion or reclassification).

The amount of merit pay available each year is contingent on the amount of merit pay budgeted by the Council in any given year. In years when the Council does not budget money specifically for merit increases, no merit increases will be given.

See Merit System #130



IV. PROCEDURE

A. Official Job Titles

All positions shall be designated by official job titles. These official job titles shall be approved by the Human Resources Manager and shall be used on all official records, payroll and communications. No other job titles may be used.

B. Salary Pay Grades/Ranges

Each position is assigned to a pay grade. Each salary pay grade has been assigned a salary range based on a range around market averages for similar positions.

For all employees, including Non-Exempt Police Officers and Police Sergeant Positions, when an employee has reached the maximum salary for a pay grade, the employee will be eligible for salary adjustments when the Council approves a cost of living increase that automatically increases the stated maximum.

C. Step Increases - Non-Exempt Police Officer and Police Sergeant Positions

Sworn non-exempt police officers and police sergeant positions are on a step pay plan. The step pay plan is based on the salary ranges approved by the City Council. from the City's compensation study. The compensation study will be conducted every three to five years. Adjustments to the step pay plan will be made at that time, if warranted.

Movement to the next step in the pay plan may occur annually on the employee's anniversary date in the position at the discretion of the Chief of Police.

D. Placement on Salary Schedule at Time of Hire

At the time of hire, regular employees will be placed on the salary schedule based on their credible experience while maintaining departmental equity. Credible experience is experience matching or closely matching the job functions outlined in the job description for the position they are assuming. For closely related experience performing similar or subordinate level experiences to the job they are assuming will be considered.

Sworn Police Officers

Sworn Police Officers will be placed on the salary schedule based on their documented years of experience at the time of hire, while maintaining departmental equity, at the discretion of the Chief. The Chief will submit his recommendation on the step for a new hire with appropriate documentation (i.e. TCOLE status report, relativeness to new hire's previous position and previous agency) to the Human Resources department for the City Manager's approval.

A new hire with no experience will start as a probationary police officer. After successfully completing the field training program, which in most cases likely takes six (6) months to complete, the officer will move to the final step of the probationary police officer step plan. After one (1) year in the position from the hire date, the officer may move to Step 1 of the police officer step pay plan.



~~G.E.~~ Bilingual Incentive Pay

Full-time employees may receive bilingual incentive pay at an amount determined by the City Manager. To be eligible, the employee must be proficient in English and Spanish and pass the Level 2 fluency examination coordinated by Human Resources. Proof of successful completion of the examination should be submitted to the Human Resources Department.

~~D.F.~~ Certification Pay/ Assignment/ Incentive Pay

Employees may receive monthly certification/ assignment/ incentive pay at an amount determined by the City Manager. The City Manager will determine which certifications may be eligible. Criteria will include relevance of the certificate/ assignment/ incentive to the employee's current position, employee's standing with the issuing organization, and achievement of a level of certification above that required for employment.

Certificates or other documentation should be routed to the Human Resources Department for insertion in the employee's file. See Human Resources for current rates of certification incentive pay.

1. Procedure

- a. During preparation of the annual budget, department heads shall submit certification/ assignment/ incentive pay request forms for employees holding certifications for which certification pay is approved.
- b. Department heads, including the Police Chief, shall submit requests for approval of additions to the list of approved certifications/ assignment/ incentive to the Human Resources Manager for routing to the City Manager.

c. Annually, a full list of all approved certification/ assignment/ incentive payments will be published. As employees earn or renew, the department head will submit a copy of the certification or renewal and stipulate the time frame during which the certificate will remain valid.

Human Resources will authorize the certification/ assignment/ incentive pay for the period stipulated. If certifications are not renewed or if Human Resources is not notified of the renewal at the end of the stipulated period, the certification/ assignment/ incentive pay will be discontinued,

~~e.—~~

~~E.G.~~ Longevity Pay

Longevity pay will be paid to all full-time City employees.

1. Definition

Regular Full-time Employees – Employees regularly scheduled to work 40 hours a week or more.

Police Department Members – Per Texas Government Code 141.009, a police department member is an employee of the police department who has been licensed



as a peace officer by the Commission on Law Enforcement Officers Standards and Education.

2. ~~All full-time employees including police department members (To~~ in conformance to Texas Government Code 141.032, ~~Police department members~~ will receive longevity pay.
 - a. Amount will be \$48 per year after the first year of employment with the City, with an increase of \$48 per year thereafter.
 - b. The maximum years of service to compute longevity is 25.
 - c. Payment for longevity will be ~~paid bi-weekly on~~ paid as a lump sum in the next pay period following the employee's date of hire anniversary.
 - d. Military Service

The City of Lakeway complies with Federal Department of Labor laws governing qualifying military leave under Uniformed Services Employment and Reemployment Rights Act (USERRA).

See Military Leave #315.

- e. Employees with interrupted service will establish eligibility from the latest date of employment.

3. ~~Longevity pay eligibility will be extended to full time licensed peace officer employees in the Municipal Court department.~~

See Rehires #025.

V. SALARY ACTIONS

Budgeted salary changes are made effective October 1 of each year or at some pre-determined date during the 12 months thereafter in accordance with the approved compensation plan and subject to approval of the fiscal year budget. An employee newly hired, promoted, or reassigned must complete at least six months of employment in order to qualify for a salary increase. Department heads may request salary changes as described below.

A. Recommendation for Changes

Recommendation for changes may be made for the following reasons:

1. Promotion/Demotion

A change resulting from an employee's assignment to a different position, the duties of which are such that it is classified at a different salary grade level.

2. Reclassification



A change resulting from a re-evaluation of the job duties of an employee's position leading to the placing of that position in a different salary grade level.

B. Preparation of Recommendations

1. Department heads should begin preparations several months in advance of the approval of the new fiscal year budget.
2. Department heads should prepare recommendations for salary changes and submit to the Human Resources Manager. Recommendations should include:
 - date and amount of last salary change
 - performance appraisal
 - type and amount of recommended salary change
3. The Human Resources Manager will review recommendations from department heads, prepare salary recommendations for all employees, and submit to the City Manager for review and approval as part of the City's operating budget.

Salary Administration
Policy No. 120

Origination Date: December 17, 2007
Revision Dates: October 17, 2011
October 17, 2016, February 21, 2017



130 MERIT SYSTEM

I. PURPOSE

To establish a process by which annual pay increases are given based upon performance as a reward to employees for ability and efficiency in performing their duties.

II. SCOPE

This policy applies to all City employees.

III. POLICY

Merit increases are not automatic, but will be determined by annual performance evaluations and the amount will be determined annually by the City Council during the City budgetary processes.

The amount of merit pay available each year is contingent on the amount of merit pay budgeted by the Council in any given year. In years when the Council does not budget money specifically for merit increases, no merit increases will be given.

A merit increase may be a percentage of pay added to base salary, percentage of pay lump sum, or a one-time lump sum, approved in the budget and granted to recognize acceptable/outstanding performance. An employee's salary may not exceed the maximum of the pay range for the position. Merit increases are not used to recognize increased duties and responsibilities (a promotion or reclassification).

IV. PROCEDURE

All employees, with the exception of non-exempt sworn police officers, hired on or before March 1st will receive a performance evaluation before October 1 in order to be considered for a merit increase to be paid on the paycheck for the pay period that October 1 falls in subject to funding by the City Council. Any employee hired after April 1st or who had their probationary period extended, shall not receive a merit increase until the following October, providing their evaluation merits the increase.

Non-exempt sworn police officers will be evaluated on their service date and will be eligible for merit increases at that time.

A. Probationary employees shall be eligible for cost-of-living adjustments and/or market adjustments as implemented to the pay plan. Only full-time staff is eligible to receive merit pay. Part-time employees will not be eligible. Also, full-time employees must have six months of continuous service before becoming eligible for merit pay.

B. Merit pay is based on the employee's performance evaluation and will be based on the overall performance of the employee. This determination will be documented on the performance appraisal form and discussed with the employee during the performance appraisal meeting.

C. Performance Evaluations

1. Supervisors must complete the employee's performance evaluation on or before September 1 of each year. Non-exempt Police Officers will be evaluated at least annually on their service date and as deemed appropriate by the Chief.



2. Goal setting is a crucial component to reaching strategic initiatives. Therefore, heavy emphasis will be placed on the quality of the goals set and employee attainment of those goals.

D. Rating and Award System

1. **Unsatisfactory:** The employee's overall performance is generally unsatisfactory and unless the level of performance improves, based on a documented Performance Action Plan (PAP), future employment is in jeopardy. No step, cost of living or merit increase will be awarded. Performance Action Plan (PAP). A PAP identifies performance and/or behavioral issues that need to be corrected and creates a written plan of action to guide the improvement and/or corrective action. Once performance has improved and/or behavior has been corrected the PAP can be eliminated, making the employee eligible to receive any across the board increases approved by the Council for the year in which the PAP was eliminated.
2. **Needs Improvement:** Although 50-75 percent of the overall ratings meet standards, there are significant functional areas or issues where the employee's performance requires improvement (i.e., poor attendance). Cost of living increases are given but the merit award is less than the full amount approved by the Council. If after six months, performance improves, the remaining amount may be awarded.
3. **Meets Standards:** The overall ratings meet standards, although in a limited number of functional areas the employee may need moderate improvement or exhibit exceptional performance. 100 percent of the Council-approved merit is awarded.
4. **Outstanding:** At least 50 percent of the employee's documented and supported performance ratings exceed the stated expectations for the functional areas evaluated. Merit increases of up to 1 percentage point above the merit percentage approved by the Council may be awarded.
5. **Exceptional:** At least 75 percent of the employee's documented and supported performance ratings exceed the stated expectations for the functional areas evaluated. Merit increases of up to 1.5 percentage points above the percentage approved by the Council may be awarded.

E. Annual Budget Request

1. During the annual budget process, department heads will submit to the City Manager a list of all employees that they anticipate will qualify for a merit increase in the coming year and the estimated dollar amount of the increase based on a percentage of pay added to base salary, percentage of pay lump sum, or a one-time lump sum.
2. Based on the decision of the City Council, the final dollar amount of the estimated merit increases is allocated by the City Manager in each departmental budget based on the submitted estimates. Lump sum merits will be set by the City Manager, based on the Council's total merit allocation, and in collaboration with the department heads.
3. Merit increases as a percent of salary will be based on prior year evaluations and given effective October 1.
4. Lump sum increases may be awarded to the employee on October 1, or on their service date, based on a current year evaluation.
5. Lapsed merit increases not awarded (i.e., employee separations, promotions or transfers), will be swept from the department budgets at the end of the fiscal year.



Merit System
Policy No. 130
Origination Date: May ??, 2020
Revision Dates: None



200. HOURS OF WORK AND PAYROLL PRACTICES

210 HOURS OF WORK AND PAYDAYS

I. PURPOSE

To comply with federal, state and local laws and provide employees with a reliable and responsible system.

II. SCOPE

This policy applies to all City employees.

III. POLICY

This City shall establish the hours of employment in the City's basic workweek and establish pay periods and paydays to administer the payment of wages, salaries and overtime.

IV. PROCEDURE

A. Hours of Work

The working time per week for full-time employees shall be 40 hours with special provisions made in departments that require additional hours to meet existing conditions or emergencies.

Part-time employees are typically scheduled for less than 30 hours per week.

Any proposed regular shift schedule modifications must be approved in advance by the City Manager.

B. Business Hours

Regular business hours are Monday through Friday from 8 AM to 5 PM. The City Manager shall approve the business hours for departments that do not operate during regular business hours.

C. Work Week/Work Period

For pay purposes the work week begins at 12:01 AM on Sunday and ends at midnight on Saturday.

Pursuant to Section 142.0015(j) of the Texas Local Government Code, a work period for non-exempt police patrol personnel is defined as 80 hours within a fourteen (14) day work cycle. Any time less than one quarter hour is not compensable.

D. Pay Period

Employees are paid bi-weekly. If payday falls on a holiday, payday will be on the day preceding the holiday.



E. Meal Period

With the exception of police officers and communication employees in the Police Department, each employee will take an unpaid meal period each day.

The time for lunch will be for thirty minutes or one hour as set by each department. An employee who is unable to take a meal period must report this to his/her supervisor/department head and the time worked must be reported on that day's time card. Overtime during a meal period requires a supervisor/department head's advance approval.

F. Breast-Feeding Breaks

Nursing mothers will be provided reasonable unpaid break time and a private place to express breast milk.

1. Reasonable break time

- Employers are not required to compensate an employee for this break time, unless required by state law.
- Reasonable unpaid break time will be provided for up to one year after the birth of the child each time the employee has a need to express the milk.
- The employee and department head will agree upon the amount of time considered reasonable.

2. Private place

- The place will be some place other than a bathroom, shielded from view and free from intrusion from co-workers and the public.

G. Employee Time Card Reporting of Hours Worked

1. Each employee shall be responsible for the accuracy of his/her own time sheet.
2. The employee's signature is required on each time sheet acknowledging that the hours worked are correct as shown.
3. Time sheets are to be reviewed and signed by the supervisor/department head.

H. Payroll Deductions

1. Mandatory

- federal income tax withholding
- social security tax
- employee contribution to the Texas Municipal Retirement System (participation is required of all full-time employees and part-time employees in a position that normally requires at least 1,000 hours of work in a year)
- court ordered payments

2. Optional Deductions May Include

- medical and dental insurance for dependents
- voluntary life insurance
- voluntary accident and dismemberment insurance



- independent deferred compensation
- supplemental insurance

Hours of Work and Paydays

Policy No. 210

Origination Date: December 17, 2007

Revision Date: May15, 2010



220 OVERTIME: NON-EXEMPT EMPLOYEES

I. PURPOSE

To provide guidelines to administer overtime pay, in order to manage time and fiscal resources and to comply with applicable federal and state regulations.

II. SCOPE

This policy applies to non-exempt employees.

III. POLICY

Hours compensated at the overtime rate shall be defined as the hours actually worked in excess of 40 hours in a work week in conformance with the Fair Labor Standards Act. Benefit hours or compensatory time taken within the work week are not used as the basis for calculating actual hours worked.

Pursuant to Section 142.0015(j) of the Texas Local Government Code, a work period for non-exempt sworn police officers is defined as 80 hours within a fourteen (14) day work cycle. Any time less than one quarter hour is not compensable. As such, non-exempt sworn police officers are required to work a flexible schedule equating to 80 hours within the 14-day work cycle which does not include regularly scheduled overtime. Unscheduled overtime will follow the same guidelines as all other non-exempt City employees.

Due to operational needs, non-exempt Telecommunicators working a 12-hour schedule will adhere to a flexible schedule that includes a maximum of 4 hours of scheduled overtime during a two week pay period. Unscheduled overtime will follow the same guidelines as all other non-exempt City employees.

See Hours of Work and Paydays #210.

IV. PROCEDURES

A. Authorization

All overtime must be authorized and approved in advance by the supervisor/ department head. An employee may be required to work overtime to meet the operational needs of the City. Overtime required to meet the operational needs of the City shall be allocated as evenly as possible among all employees qualified to do the job.

Overtime requests for non-emergency, routine events, such as in-house training must be approved in advance by the City Manager or designee. Where possible, the scheduling for any routine matters involving non-exempt employees, including police personnel, should be scheduled well in advance during normal working hours with planned coverage provided by existing staff, as appropriate.



B. Compensation

Authorized overtime shall be compensated at the rate of one and one-half times the regular rate of pay. At the discretion of the City, compensatory time at the rate of one and one-half times the amount of overtime worked may be provided in lieu of overtime pay.

C. Compensatory Time

Determination of whether hours worked may be allocated as comp time, in lieu of overtime pay, shall be made in advance. The maximum amount of comp time that may be accumulated at any one time shall be 80 hours.

Once comp time is accrued, it must be taken as comp time off, except in the following circumstances:

1. An employee will be paid for any unused comp time upon separation. See Compensatory Time #221. Appears to be covered in #220 OT for Non-Exempt Employees
2. Non-exempt employees who are promoted to an exempt level position will be paid out all comp time accrued at the rate of pay prior to promotion.

D. On-Call Pay

See On-Call Pay #211.

E. Emergency Response Situations

Employees called in to work in emergency response situations will be compensated on a time and one-half basis.

The extra compensation will not be included in calculating the employee's "regular rate" of pay for the purpose of determining overtime compensation, if due, for the work period, pursuant to 29 U.S.C. § 207(e).

See Emergency Situations #750.

F. Holiday Work

1. Employees, including Police Officers, Telecommunicators and Code Enforcement Officers, scheduled to work on a City holiday will be compensated as follows:
 - employee will be paid a premium rate of pay equal to one and one-half times regular rate of pay
 - employee may choose to be paid for the holiday or to accrue the holiday

The extra compensation will not be included in calculating the employee's "regular rate" of pay for the purpose of determining overtime compensation, if due, for the work period, pursuant to 29 U.S.C. § 207(e).



2. Comp time

Holiday pay will be paid in lieu of comp time.

3. Police Officers, Telecommunicators and Code Enforcement Officers whose regular day off falls on a City holiday will accrue the holiday.

4. Hours accrued for holidays shall be used within six months of date accrued.

See Holidays #312.

Overtime: Non-Exempt Employees
Policy No. 220
Origination Date: December 17, 2007
Revision Dates: July 2, 2009
October 17, 2016



620 PROMOTIONS/RECLASSIFICATIONS

I. PURPOSE

To support the basic organization-building process of promoting qualified employees to positions of greater responsibility and recognition.

II. SCOPE

This policy applies to all positions.

III. POLICY

Opportunities to promote from within may be explored with the goal of filling positions with the most capable individual available.

Receipt of a promotion does not guarantee that an employee will be able to return to his/her former position if he/she is unsuccessful in the new position.

IV. GUIDELINESPROCEDURE

A. Promotion to an Existing Vacant Position

1. Positions may be posted internally.

1.2. Employees interested in applying for the position will submit an application. Input for the internal selection process will include the qualifications of each candidate, the employee appraisals and career counseling records.

3. The selected candidate will be placed on the salary schedule for the new position at the entry level for the new position or an amount approved by the City Manager.

4. Police Department

The position will be placed on the salary schedule for the new position at the greater of the entry level for the new position or the Step in the new Pay Grade closest to a 5 percent increase on their base pay. After remaining in the position for one (1) year, the employee may move to the next step. Exceptions must be approved by the City Manager.

A.B. Non-exempt employees who are promoted to an exempt level position will be paid out all compensatory time accrued at the rate of pay prior to promotion.

C. Request to Create a New Classification

This process should be used when a department head or supervisor believes that an employee's assigned duties have substantially changed and the current classification and pay grade may no longer apply.

1. Department Head/Supervisor submits completed Job Review Form to Human Resources to request a job evaluation for either a new or existing position. Note that one form per job should be submitted.



2. Human Resources (HR) staff receives completed Job Review Form and determines what action is needed; if action requires completion of a JAT (Job Assessment Tool), a blank JAT is emailed by HR to Department Head/Supervisor for completion. If the position is new, the JAT should be filled out by the person with the most knowledge of the position. If no JAT is needed, HR staff proceeds to **Step 5**.
3. Department Head/Supervisor completes JAT and submits to HR within 5 business days.
4. HR receives and reviews JAT for accuracy. Score is input into existing regression database.
5. If market data on file is greater than one year old or not available for the position in question, fresh market data is collected from established peers.
6. Average market midpoint is entered into existing regression database by HR.
7. With JAT and market data, the regression database provides HR staff with an approximate midpoint. This midpoint is used to place the position on the City salary schedule.
8. HR staff record final recommended pay grade and job title in the second section of the Job Review Form.
9. A copy is emailed to the Department Head/Supervisor, as well as to the City Manager for final approval.



Job Review Form

Please complete all fields, scan, and electronically submit to the Human Resources Department.

DEPARTMENT HEAD COMPLETES

<u>Requester Name and Title:</u>	_____
<u>Phone:</u>	_____
<u>E-mail Address:</u>	_____
<u>Department:</u>	_____
<u>Today's Date:</u>	_____
<u>Job Title for Review:</u>	_____
<u>Position Type (New or Existing):</u>	_____
<u>Reason for Review:</u>	
<u>Desired Outcome:</u>	



JOB REVIEW FORM – PART TWO*

HR USE ONLY

Form Received by:	_____
Form Reviewed by:	_____
Today's Date:	_____
Action:	
JAT Sent (Y/N):	☐ Yes ☐ No Once Returned, record date received _____
Market Data Needed (Y/N):	☐ Yes ☐ No

Final JAT Score	_____
Market Midpoint Value	
Regression Midpoint	
Title Recommendation:	_____
Grade Recommendation:	_____
Explanation of Findings:	
Reviewer Notes:	

Signature: _____
Human Resources
Manager

Date: _____

Signature: _____
Assistant City Manager

Date: _____

**Part One and Part Two are contained on the same sheet.*



V. RELATED POLICIES

Job Posting #021

Introductory Period #031

Salary Administration #120

Employee Performance Appraisal #612

Promotions
Policy No. 620
Origination Date: December 17, 2007
Revision Date: n/a

